

CMR Institute of Technology, Bangalore			
Department(s): MBA			
Semester: I	Section(s): A & B	Lectures/week: 04	
Subject: FINANCIAL ACCOUNTING & REPORTING		Code: MBA102	
Course Instructor(s): DR G RAJASEKAR			
Course duration: 16-12-2024 to 28-03-2025			
Course Site: https://sites.google.com/d/1_ML2_n1TH_jev3qMG2qzdkTlb11LxAG5/p/1OfdwL2RqYTZ2DMDECOWTlv5rnRjOgCzx/edit			
Drive Link: https://drive.google.com/drive/folders/1o1EXRx6oSmg_I_Lp2VrmqNmUKXmPVdLl			

MODULE 5- BANK RECONCILIATION STATEMENT

Bank Reconciliation statement: Rules for recording Receipts and Payments in cash book and bank pass book, reasons for differences in the balances of cash book and bank pass book.

Meaning and Preparation of Bank reconciliation statement (Tally may be used for preparation Bank reconciliation statement). (Theory and Problems).

BANK RECONCILIATION STATEMENT

The Bank Reconciliation Statement is an aid used to ensure the accuracy of transactions appearing in the bank columns of the cash book. Such transactions can be verified through an external record, namely, the bank statement received periodically from the banker. While the business keeps a record of its transactions through the bank columns in the cash book, the banker in turn maintains the bank's transactions with the business in his ledger.

An extract from this ledger showing details of the transactions during a specified period is sent at frequent intervals by the bank to the business and this extract is referred to as a bank statement. Reasons for Difference between Bank Balances as per Cash Book and Pass Book The relationship between the customer and the banker is that of a creditor and a debtor. So, if the bank columns of the cash book show a debit balance as on a specified date, the bank statement should show an equal amount of credit balance as on that date and vice versa.

However, the balances shown by the two independent records may not always agree due to the following:

- (a) Checks issued by the business to its suppliers or other parties may not have been presented for payment.
- (b) Checks received from customers and deposited may not have been collected by the banker.
- (c) Deposits may have been directly made by the customers into the bank account of the enterprise.
- (d) Collection charges, service charges and interest on overdraft charged by the banker. The business can ascertain the exact amount of charges and record them in the cash book only after the receipt of the bank statement.

(e) Interest credited by bank for the balance maintained with it and any other income such as interest on securities, dividend, etc. collected by the bank on behalf of the business can be ascertained only from the bank statement.

(f) Wrong entries made by the business in the cash book or errors committed by the bank in its ledger.

(g) Omission of entries in the two sets of books.

(h) Dishonour of customers checks deposited in the bank account. The Effect of Each of These Entries is Explained Below
Cheques Issued but not Presented for Payment: When a check is issued to a third party, it is entered in the cash book by crediting the Bank a/c resulting in reducing the bank balance in the depositor's books. But bank debits the customer's account only when the check is presented by that third party. So, till it is presented and paid for, the bank's pass book shows more balance than shown by the depositor's cash book.

Cheques Deposited and Remaining Uncollected: Whenever a check is received by a person from a third party and he deposits it in a bank, he will debit Bank a/c and credit the a/c of third party in his own books. His bank balance (in cash book) is therefore increased. But bank will credit that cheque not when it is deposited but only when that amount has been realized. Until the cheque has been collected, the balance appearing in the pass book would be less than the balance in the Bank a/c of cash book

Deposits Directly Made into Bank a/c of the Enterprise: If suppose a debtor credits the amount directly into the bank account of a company, the balance in the pass book increases without a corresponding increase in the cash book (bank column) until it receives the information from the bank.

Bank Charges: Bank charges some amount from customer by way of incidental charges, collection charges, etc. These adjustments are shown in the pass book as and when they occur and hence the balance in the pass book decreases. Only when the customer collects his pass book and verifies it, he will not know about it and hence the balance in the bank column of cash book shown is more

Similarly, interest on deposits credited by the bank leads to an increase in balance in bank's pass book without corresponding increase in the cash book. 1. In addition to the above-mentioned transactions, the balances may not agree because of omission of entries in two sets of books. 2. Wrong entries made by the business in cash book or errors committed by the bank in its ledger. 3. Dishonour of customers cheques deposited in the bank account.

THE RECONCILIATION STATEMENT

On receipt of the bank statement, a comparison of the entries in the Cash Book with those appearing in the bank statement will help in identifying the items causing the difference in the two balances.

While the difference due to

- (i) and (ii) above will be eliminated in the near future (that is, creditors will soon present their cheques for payment and customer checks will be collected by the bank in due course), the difference due to items (iii) to (v) can be eliminated only if such items are recorded in the cash book.
- (ii) In addition, the business must rectify any errors in the cash book, include any transactions omitted and record the dishonour, if any, of customers' cheques. After these adjustments have been recorded, a statement will be prepared to reconcile the balance as shown by the cash book with that shown by the pass book. This statement is referred to as Bank

Reconciliation Statement. It must be understood that this reconciliation statement will generally contain details of:

- (iii) (a) Cheques issued and not presented, (
- (iv) b) Cheques deposited and remaining uncollected,
- (v) (c) Errors in the bank statement, and
- (vi) (d) Omission of entries in the bank statement

The bank reconciliation statement is, thus, an additional tool available to check the accuracy of the bank columns of the cash book.

Advantages of Bank Reconciliation Statement

- (i) **Error Detection:** It helps in detection of errors of omission of transactions or wrong recording of transactions either by the bank or the business enterprises. Errors identified in the books by preparing BRS can be rectified.
- (ii) **Delay in Collection Revealed:** The delay in the collection of cheques, bills, etc., if any, are revealed, when BRS is prepared. The matter can be pursued to avoid unnecessary delays in collection. It also helps the management to keep track of the cheques and bills sent for collection.
- (iii) **Completion of Cash Book:** Business enterprises get information about bank charges, cheques dishonoured, direct payments, direct deposits, etc. from the bank statement only. Entries of the same are made in the cash book on the basis of bank statement. Thus, to complete the cash book, comparison and reconciliation of cash book and bank book is essential.
- (iv) **Chances of Embezzlements are Reduced:** Periodical comparison of cash book and pass book keeps a check on the office staff. For example, entry for cash deposit is appearing in the cash book, but not in the pass book, indicates fraud being committed by the staff. This type of frauds come to light when Bank Reconciliation Statement is prepared.

STEPS IN PREPARATION OF BRS

1. Take the cash book or passbook balance as starting point. The following points have to be noted while taking the starting balance.

- (i) Debit balance as per cash book indicates favourable balance.
- (ii) Credit balance as per cash book means overdraft or unfavourable balance.
- (iii) Debit balance as per pass book means overdraft or unfavourable balance.
- (v) Credit Balance as per pass book means favorable balance.

If the starting point denotes a favourable balance as per cash book or pass book, take it as a positive figure. However, if the starting point denotes negative unfavourable balance, take it as a negative figure.

2. Adjust the starting point amount as per the information given and analyze its impact on the other balances.

3. After adjusting all the differences or errors, the balance as per the other book is obtained. If the final balance is positive, it denotes favourable balance (Debit balance as per cash book or credit balance as per the pass book).

However, if the final balance is negative, it denotes the unfavorable balance or overdraft. (Credit balance as per cash book or debit balance as per pass book). The following table summarizes the impact of various differences and errors on the starting balance.

Problems solved in class. Use of Tally for BRS will be taken up in lab.